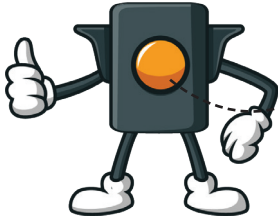


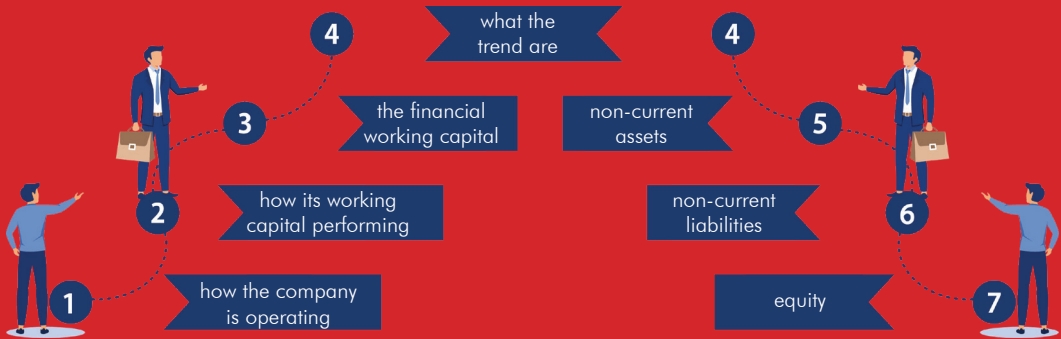
The agenda of this chapter is thus the analysis of such trends for a particular company. Once we have all the data entered in the excel sheet, we will look for answers for the previous set of questions and so many more. We will be calculating ratios, growth calculations, common size statements to determine how the company is performing.

Also, when you look at the excel sheet, lot of questions are in Orange. These are subjective questions that we will be asking for our analysis and cannot be answered purely from numbers.



Orange-marked cells are the subjective questions that need to be answered

All this will be discussed in the book going further. We will discuss how the company is operating, how its working capital is performing, the financial working capital of the company, what the trends are, non-current assets, non-current liabilities, and equity, etc. We will discuss and understand the overall performance of the company as well as performance of each line item for the company.



The upcoming chapters are about how to analyze each and every line item reported by the company.

Practice as much with raw numbers as possible so that we do not get incorrect analysis due to errors in entering numbers. Once we get experience entering data, we can use software to download the data. However, in the beginning, it is important to use data that is entered by us. This gives a hands-on experience with the data as it is easy to get intimidated by the financial statements.

In the next unit, we will analyze the Income Statement starting with the Common Size Income Statement.